



America faces a debt nightmare

The Economist, May 3rd 2023

OUR NATIONAL DEBT:
31432401819762
YOUR Family share
238,990
THE NATIONAL DEBT CLOCK

Burger & lobster

Burger & lobster

Contents

Current level of US national debt

Drivers of the debt

Effects debt default would bring

Possible Impacts on the
South Korean Economy



DEBT CEILING

For government's basic obligation in providing medical insurance, student loans, military salaries

Statutory debt limit : \$ 28.9 trillion

Current debt ceiling : \$ 31.4 trillion



DEBT DEFAULT

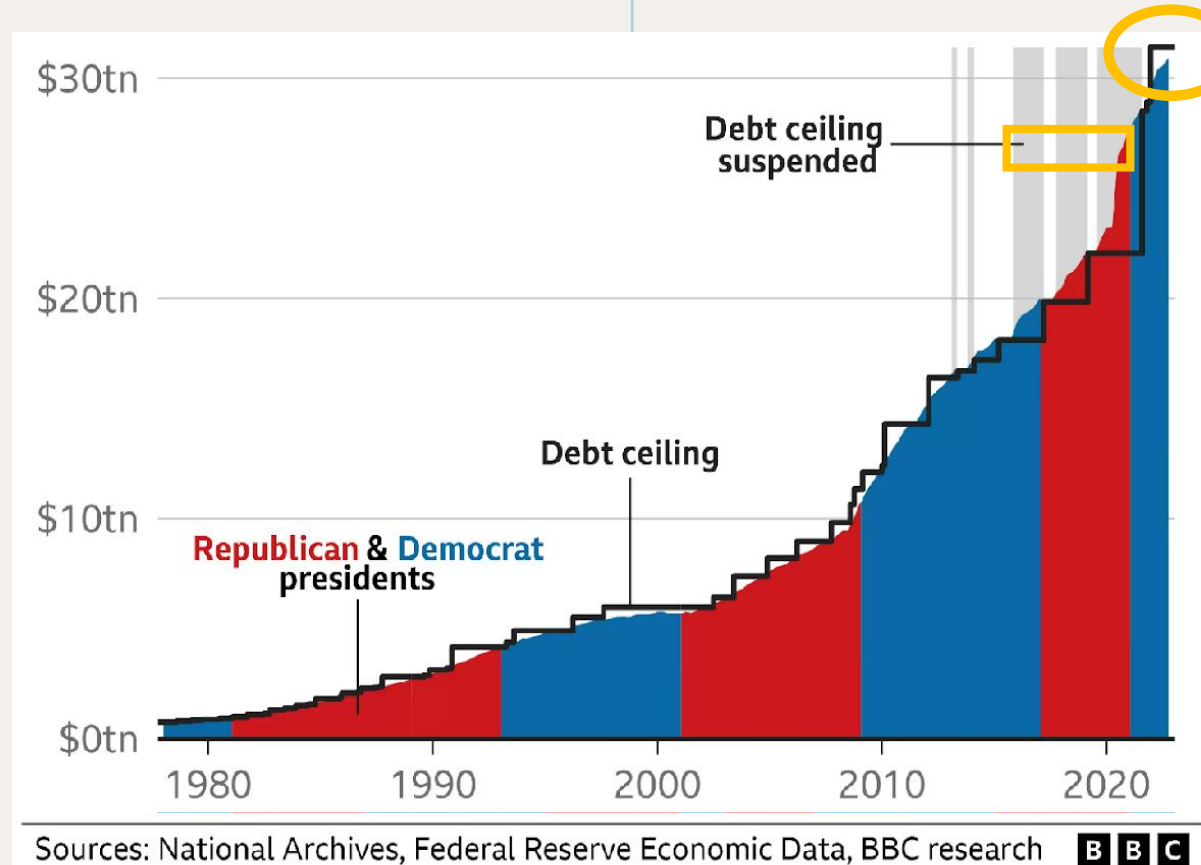
Failure in making payments on its debt obligation
(Bonds, loan, interest payments etc)

In 2011, Obama and the Republicans agreed to caps on government spending

X-DATE

The precise day when the government would run out of cash

Current level of US national debt



Rapid increase of Debt Ceiling

Especially since 2018, when the discretionary spending increased by 16 %

Accumulation of budget deficits

Expenditure > Revenue sources

Gross debt of \$31.4 trn

117 % of GDP

Drivers of the rapid debt increase

Failure in fiscal management

Federal Reserve's easy money policy



Decrease in tax revenue

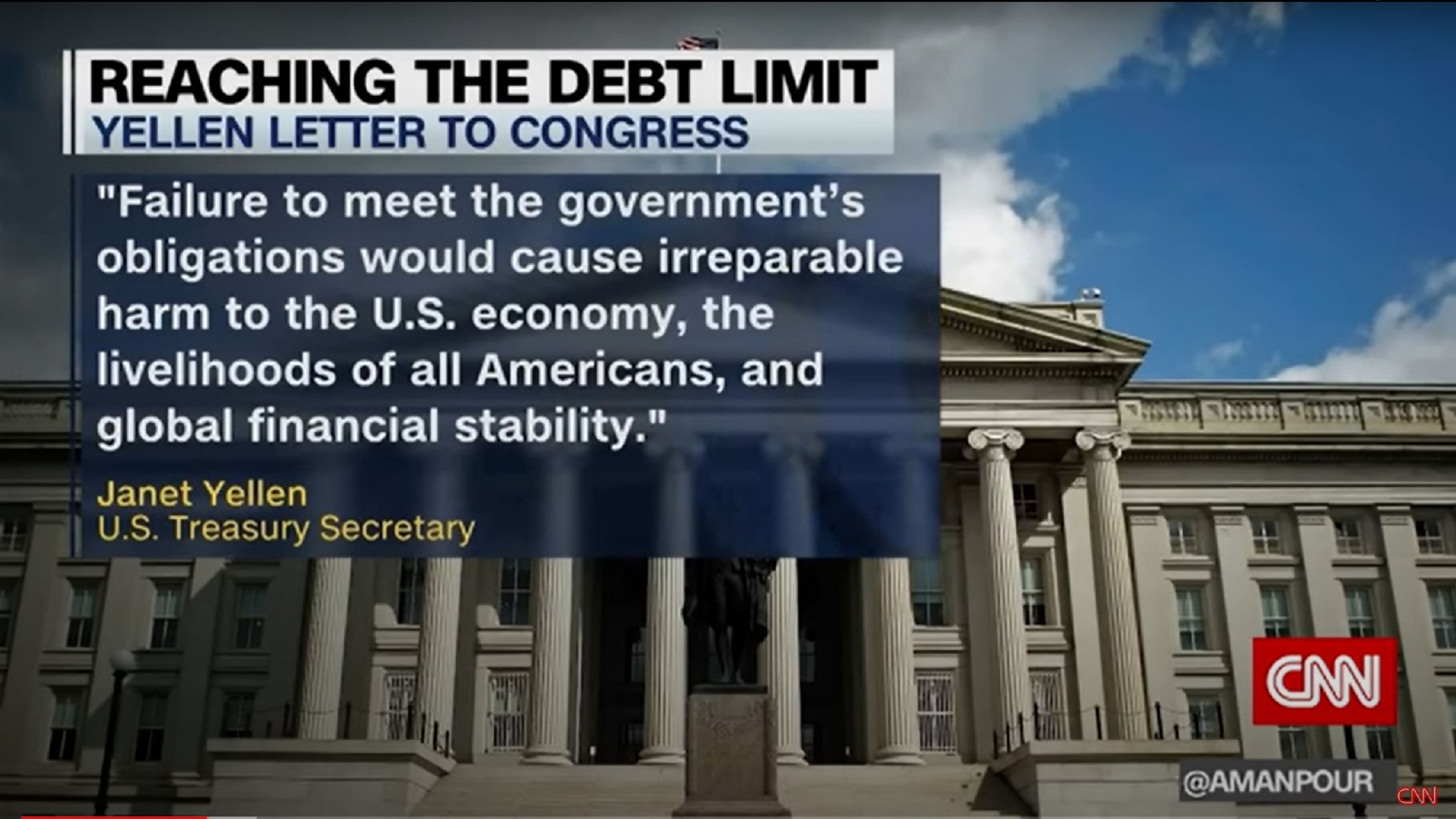
Expenditure for supporting the economy

Lack of political cooperation

Dissensus between the two parties

Spending cuts is necessary

Government spending is necessary

A photograph of the U.S. Capitol building in Washington, D.C., featuring its iconic neoclassical architecture with large columns and a pediment. The sky is blue with some white clouds. An American flag is visible on a pole in the distance.

REACHING THE DEBT LIMIT

YELLEN LETTER TO CONGRESS

"Failure to meet the government's obligations would cause irreparable harm to the U.S. economy, the livelihoods of all Americans, and global financial stability."

Janet Yellen
U.S. Treasury Secretary

The CNN logo, consisting of the letters "CNN" in white on a red rectangular background.

CNN

@AMANPOUR

CNN

Possible effects of the Debt default

On the Economy

Country's credit worthiness could be called into question

Interest rate increases

The US Treasury will no longer be safe

Limitation in the country's
Ability to respond to emergencies

Inflation

Recession in Economy

Weakening of the US dollar

Possible effects of the Debt default

On Individuals

Risks to Social Security
and Medicare



Federal employees and veteran
benefits could be affected



Increase in unemployment rate



Borrowing cost increases



Stock market tumbles



Possible Impacts on the South Korean Economy

TRADE

Korean exporters could face lower demand and reduced revenues, which leads to job losses and slower economic growth

INVESTMENT

Reduction in FDI from the United States could harm Korean companies and slow economic growth.

CURRENCY

If the U.S. dollar were to weaken due to the debt crisis, it could lead to a depreciation of the Korean won

INTEREST RATES

Higher borrowing costs for Korean companies and individuals, which could slow down investment and spending

Discussion Questions

QUESTION 1

Is South Korea safe from such crisis? What are the differences of the debt situation between South Korea and America?

QUESTION 2

In 2011, then-President Obama and the Republicans agreed to caps on government spending and was able to avoid the potential default. Today, in what ways might policymakers address America's debt problem, and what challenges do they face in doing so?

QUESTION 3

Why is this debt-limit battles occurring repeatedly? What implications does America's debt problem have for future generations, and how can current policymakers balance the need for economic growth with long-term fiscal responsibility?

REFERENCE

S

<https://edition.cnn.com/2023/05/02/politics/debt-ceiling-social-security-economy/index.html>

<https://www.wbur.org/onpoint/2023/05/10/the-clock-ticks-on-the-debt-limit>

<https://www.npr.org/2023/05/09/1174944635/the-white-house-hosts-a-debt-ceiling-meeting-to-try-to-avert-financial-default>

<https://www.nytimes.com/2023/05/09/business/markets-investors-debt-ceiling.html>

<https://www.youtube.com/watch?v=LWMWYMiTs5g>

<https://www.youtube.com/watch?v=x4E1TmDLNHU>

<https://theintercept.com/2023/05/06/debt-limit/>

<https://www.economist.com/finance-and-economics/2023/05/03/america-faces-a-debt-nightmare>

<https://www.bbc.com/news/world-us-canada-64341875>

https://www.google.com/search?q=dollars+logo+png&rlz=1C1FKPE_koKR995KR995&oq=&aqs=chrome.5.69i59i450l8.22786152j0j7&sourceid=chrome&ie=UTF-8#imgrc=rJ4qxdLIt6LiH

M